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Casa de Bolsa Interacciones

Grupo Bimbo, S.A.B. de C.V.

FOOD
BIMBO A

Reassignment of Coverage

May 24, 2018

Last. **MXN$39.63** | Mkt Cap **MXN$186,388 mn** | Shares Out. 4,703 mn | Free Float. **32.9%** | Beta (3 yr. Vs MEXBOL): **0.81** | Daily Value Traded (6m): **MXN$101.2 mn**

Source: Company and Interacciones Research

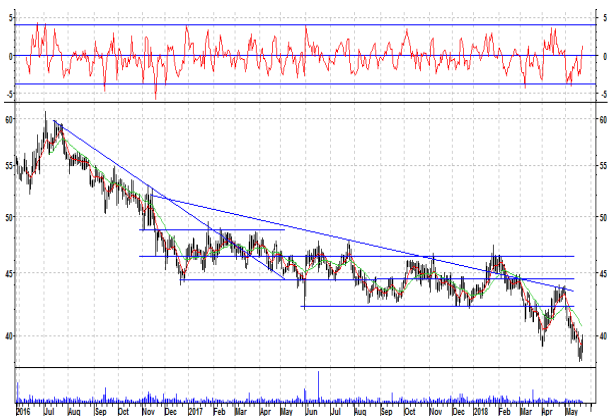
P.O. MXN$43.00 **HOLD**

One of Mexico's Most Acquisitive Companies

- **We are reassigning coverage of Grupo Bimbo, S.A.B. of C.V. ("Bimbo"), with a HOLD recommendation and year-end MXN$43.00 per share target price.** The potential return is 9.2%, including a 0.7% dividend yield.

- **Attractive growth potential -** We expect Bimbo's revenues, EBITDA and net income to grow at an average annual rate of 6%, 9% and 13%, respectively, supported by a higher consumption of Bimbo's products, the acquisitions that the company has carried out, as well as lower integration costs.

- **Acquisitive possibilities -** Bimbo has continued to consolidate its position as the world's largest breadmaker through several acquisitions, including: *Donuts Iberia* in 2016, *Grupe Adghal* in Morocco, *Ready Roti* in India, and *Bimbo QSR* (previously *East Balt Bakeries* in the US) during 2017, and *Mankattan* in China in February this year. Bimbo has undertaken 48 acquisitions in the last ten years.



- **We believe that Bimbo's shares are at a fairly valued -** We expect them to operate at an EV/EBITDA of 10.2x and a P/E of 36.5x at the end of the current year. The first multiple is at a discount against the average of international counterparts, while the second is at a premium.

- **Risks -** Bimbo's main risks include: **i)** a significant increase in its main raw material costs; **ii)** a substantial appreciation of the Mexican peso against the US dollar; **iii)** higher-than-expected integration expenses; **iv)** greater competition from existing or substitute products; **v)** changes in the population's eating habits; **vi)** changes on the health or tax regulations; **vii)** high leverage with a proforma net debt to EBITDA ratio of 3.1x at the end of Q118; **viii)** changes in the management team; and/or, **ix)** a macroeconomic slowdown in the regions where the company operates.

Multiples	2016	2017	L12M	2018E
P/E	37.5x	44.2x	38.0x	36.5x
P/BV	3.1x	2.8x	2.7x	2.8x
EV/EBITDA	10.3x	10.8x	9.8x	10.2x

Forecasts (mxn mill.)	2016	2017	L12M	2018E
Revenues	252,141	267,515	265,589	279,589
EBITDA	29,297	27,288	27,996	28,831
EBITDA Margin [%]	11.6%	10.2%	10.5%	10.3%
Net Income	5,899	4,630	4,905	5,544
Net Margin [%]	2.3%	1.7%	1.8%	2.0%
Net Debt	75,686	87,097	84,524	88,735
Net Debt / EBITDA	2.58	3.19	3.02	3.08

Source: Interacciones Research and the company

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I. Executive Summary

i. Company Description

Grupo Bimbo, S.A.B. de C.V. ("Bimbo") is the world's largest baking company as it operates 196 production plants in 32 countries. It has a portfolio of more than 13,000 products with nearly 100 brands. One of Bimbo's main competitive advantages is its extensive distribution network, which serves 3.0 million points of sale. The company was founded in 1945 in Mexico City. In 2017, Bimbo recorded revenues of MXN$267.5 billion, EBITDA of MXN$27.3 billion and net income of MXN$4.6 billion.

ii. Investment Thesis

We are re-assigning coverage on Bimbo with a HOLD recommendation year-end target price of **MXN$43.00 per share**. We believe that Bimbo's shares are fairly valued as we expect them to operate at an EV/EBITDA of 10.2x and a P/E of 36.5x at the end of the current year. In our opinion, these multiples fully reflect Bimbo´s solid fundamentals, which includes its attractive growth potential, its leading position in the international bakery industry, its acquisitive potential, its well-known management team, and its high flow generation which will help the company to reduce leverage.

iii. Valuation

We set our target price of MXN$43.00 per share through a discounted cash flow model which uses a 9.5% WACC and a 7.5% nominal rate of growth in perpetuity. The potential return is 9.2%, which includes a 0.7% dividend yield for the next twelve months.

iv. Main Risks

Bimbo's main risks include a possible increase in commodity prices and / or significant appreciation of the Mexican peso against the dollar, higher-than-expected integration expenses in the new operations it acquired since the beginning of last year, higher competition from manufacturers of bakery products or substitute food products, possible changes in the food habits of the population towards low-calorie products or with greater nutritional value, changes in health or tax regulations, high leverage with a net debt to EBITDA ratio of 3.1x on a pro forma basis at the end of Q118, changes in the management team, and / or macroeconomic slowdown in the main regions where the company operates.

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II. Company Description

Operations

Grupo Bimbo, S.A.B. of C.V. is the world' largest baking company and one of the largest food companies in the Americas. It operates in 32 countries including Mexico, the United States, Canada, a large part of Latin America, Spain, Portugal, China and the United Kingdom. The company has a portfolio of more than 13,000 products and more than 100 recognized brands including *Bimbo, Oroweat, Arnold, Marinela, Barcel, Thomas', Sara Lee, Tia Rosa, Entenmann's, Ricolino, Pullman, Rainbo, Nutrella, Dempster's, POM, New York Bakery Co, Supan, Vachon,* and *Donuts Iberia*. In the last 10 years, Bimbo has acquired 48 companies in related businesses.

Bimbo produces, distributes and markets a wide range of baked products in each of its categories, including bread and pastries, premium bread, frozen bread, cakes and pastries, cookies and sauces, tortillas, pita, pizza bases, toast and totopos, snacks, candies and packaged foods, among others.

One of Bimbo's main strengths is its extensive distribution network. The company has 196 production plants, 1,700 sales centers, and more than 53,000 delivery routes in the world, which serve 3.0 million points of sale.

Graph 1 – Bimbo's Current Operations



Source: Grupo Bimbo Corporate Presentation

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Graph 2 – Bimbo's Main Brands



Source: Grupo Bimbo's Corporate Presentation

Table 1 – Market Share of Bimbo's main products

	Sliced Bread	Buns & Rolls	Bagels	English Muffins	Cookies	Cakes	Pastries	Tortillas	Salty Snacks	Confectionery
US	#1	#1	#1	#1		#2	#2			
Canada	#2	#1	#1	#2		#1		#1		
Mexico	#1	#1			#2	#1	#1	#1	#2	#3
Latin America	#1	#1			#2	#1	#2		#2	
EEA	#1	#1	#1			#2	#1			

Source: Grupo Bimbo Corporate Presentation

North America

North American operations represent 50% of the company's total revenues, being the largest region of Bimbo, including the United States and Canada.

i. United States

In December 2013, *Bimbo Foods* and *Eartgrains Bakery Group* merged with *Bimbo Bakeries*, which resulted in the company *BBU*, in the United States. *BBU* is the US largest bakery, according to *IBISWorld*, as it owns 59 production plants, and has an important national distribution network, which occupies the leading position in most of the categories in the country. The company has grown organically and through acquisitions and mergers, which includes: *WFI*, *Earthgrains*, *Beefsteak*, *Oroweat*, *Entenmann's* and *Mrs. Baird's*. *BBU* has its main offices in Horsham, Pennsylvania.

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The attractive brand portfolio includes *Thomas'* in "english muffins" and "bagels", *Sara Lee* and *Nature's Harvest* in box bread, *Ball Park* for pastries, *Entenmann's* for cupcakes, healthy premium brands like *Arnold*, *Brownberry*, *Oroweat* and organic bread brands such as *Eureka* and strong regional brands such as *Mrs. Baird's*, *Freihofer's*, *Stroehmann*, *Rainbo*, *Heiners*, *Colonial* and *Beefsteak*. Similarly, *BBU* produces and distributes Mexican brands of Grupo Bimbo in the United States, such as *Bimbo* and *Marinela*. Products marketed by Bimbo in the United States under the *Barcel* brand, have grown significantly in that country as of late.

ii. Canada

The company started operations in the Canadian bakery market as a result of the acquisition of *Canada Bread* in 2014. This subsidiary operates 22 production plants in the country and owns one of the largest distribution networks. Bimbo Canada's main offices are located in the city of Toronto.

Bimbo Canada participates in the fresh and frozen bread, sweet bread, pastries, bagels, muffins, pastries, frozen pie bases and fresh tortillas categories, with a portfolio of leading brands in the country. These brands occupy the first or second position in all relevant categories of fresh and frozen bakery in the Canadian market, according to *Nielsen* data. The company maintains close relationships with various supermarket chains and other large retailers in the country.

Mexico

Bimbo's conducts business in Mexico through two main brands:

- Bakery products, including fine pastry, handmade bread and other baked goods through the *Bimbo* brand.

- Salted snacks and candies through the *Barcel* brand.

Currently, Bimbo operates 37 production plants in Mexico, with an extensive national distribution network. Its distribution encompasses a large number of grocery or "mom-and-pop" stores, large retail customers, supermarket chains, hypermarkets, price clubs, convenience store chains, and other institutional clients.

i. Bimbo

Bimbo produces, distributes and sells box bread, sweet bread, pastries, cakes, biscuits, cookies, crackers, cereal bars, wheat flour tortillas, and toast, among others. Its products are marketed under the *Bimbo*, *Oroweat*, *Marinela*, *Tìa Rosa*, *Wonder*, *Milpa Real*, and *Lara* brands, among others. Additionally, Bimbo produces, distributes and markets fine pastry and artisanal bread under the *El Globo*, *La Balance* and *El Molino* brands, through direct sales points. Bimbo's main offices are located in Mexico City.

Bimbo is the market leader in the cupcake category and ranks second in terms of sales in the cookies and cracker categories in the country, according to *Nielsen.* Mexico's baking market is still very competitive and fragmented. The company competes mainly against independent bakeries, of which a significant number are family businesses.

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ii. Barcel

Barcel produces, distributes and sells salted snacks and candy products, including potato chips, peanuts, salty corn-based snacks, lollipops, gummies, chocolate-covered marshmallows, chewing gum and chews. The brands under which Barcel's products are sold are: *Barcel,* which occupies the second position in the market of salted snacks in Mexico, and *Ricolino*, second in the market of candies and chocolates in the country.

Barcel has increased its reach with a strong penetration and a complementary portfolio of products in the United States, as well as exports to 16 countries around the world. The group has strengthened its position through combined organic growth and some acquisitions.

Latin America

Bimbo operates in 15 countries in the region including: Argentina, Brazil, Chile, Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, Peru, Uruguay and Venezuela. The main products include box bread, sweet bread, pastries, toasts, tortillas, Arabic bread, pizza base, cakes and pastries, cookies, alfajores, snacks, pasta and pie tapas, frozen bread and candies. These products are marketed under the *Bimbo*, *Marinela*, *Ana Maria*, *Barcel*, *Braun*, *Breddy*, *Dinner*, *Crocantíssimo*, *Fargo*, *Fuchs*, *Grillé*, *Oroweat*, *Plus Vita*, *Pullman*, *PYC*, *Rap 10*, *Ricolino*, *Saníssimo*, *Supan* and *Tía Rosa* brands, among others. The company owns 33 production facilities and an extensive distribution network.

Europe

Bimbo operates in Spain, Portugal and the United Kingdom as a result of its acquisitions of *Sara Lee*, *Canada Bread* and *Panrico* in 2011, 2014 and 2016, respectively. The company owns 17 production plants in this region and an extensive distribution network serviced mainly by independent distributors, which is aimed at self-service chains and institutional clients. In Spain and Portugal, the company has a strong presence in the bread, pastries and snacks categories. In the United Kingdom, the group participates in the fresh and frozen bakery business producing bagels (market leader in this category), croissants, specialty bakery products, Italian ciabatta and artisan bakery products. Bimbo's European operations' offices are located in the City of Barcelona, Spain.

Asia

Bimbo Beijing produces and distributes box bread, pastries, cookies and instant food, among others, mainly under the *Bimbo*, *Million Land* and *Jin Hong Wei* brands. Last February, Bimbo announced the acquisition of *Mankattan*, a relevant player in China's baking industry. *Mankattan* produces and distributes packaged bread, pastries, pastries and "Yudane" (a Japanese-style sandwich bread), among other products, for customers of the modern, traditional and fast-food channel ("QSR") in China. The company has 1,900 employees and operates four plants, which distribute their products to Beijing, Shanghai, Sichuan, Guangdong and their respective metropolitan areas. As a result of this acquisition, Bimbo owns five production plants in in China. The company also has a growing distribution network especially designed for the local market.

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Bimbo QSR

In October 2017, Bimbo completed the acquisition of *"East Balt Bakeries"*, which was renamed *"Bimbo QSR"*, for USD$650 million, free of cash and debt. This is one of the leading companies focusing on the food service industry at an international level, having s strong presence in the US with 32% of sales, and then Asia with 25%, with the rest being distributed in several international markets.

Bimbo QSR produces buns, english muffins, tortillas, bagels, artisan breads, among other bakery products for fast-food restaurants around the world. The company operates 21 plants in 11 countries in the United States, Europe, Asia, the Middle East and Africa, including two joint ventures. It manufactures around 13 million products daily which reach more than 10,000 points of sale. Its headquarters are located in Chicago, Illinios, United States.

In the twelve months ending on June 30, 2017, *Bimbo QSR* generated revenues of USD$420 million with an EBITDA of USD$70 million. Its main customers include some of the world's largest fast-food companies, such as *McDonald's, Subway, Pizza Hut, Wendy's, Burger King, KFC, Yum China* and *Nando's*.

Corporate Governance / Management Team

Bimbo's Board of Directors includes the Chairman, Mr. Daniel Javier Servitje Montull, ten directors, six independent directors and one secretary. This board complies with the requirements of Mexico's Securities Market Law, since it has more than 25% of independent members.

In addition, Bimbo has three Committees: Audit and Corporate Practices, Finance and Planning, and Evaluation and Results.

Table 2 – Board of Directors

Board of Directors	Position
Daniel Javier Servitje Montull	Chairman
María Luisa Jorda Castro	Independent Board Member
Arturo Manuel Fernández Pérez	Independent Board Member
Ricardo Guajardo Touché	Independent Board Member
Ignacio Pérez Lizaur	Independent Board Member
Edmundo Miguel Vallejo Venegas	Independent Board Member
Jaime Antonio El Koury	Independent Board Member
José Ignacio Mariscal Torroella	Board Member
Raúl Carlos Obregón del Corral	Board Member
Mauricio Jorba Servitje	Board Member
Luis Jorba Servitje	Board Member
Maria Isabel Mata Torrallardona	Board Member
Nicolás Mariscal Servitje	Board Member
Javier de Pedro Espíndola	Board Member
Jorge Pedro Jaime Sendra Mata	Board Member
Jaime Chico Pardo	Board Member
Francisco Larresgoiti Servitje	Board Member

Source: Grupo Bimbo's 2017 Integrated Annual Report

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The Audit and Corporate Practices Committee comprises a Chairman and four executives, who are independent Directors to the Board.

Table 3 – Audit and Corporate Practices Committee

Audit and Corporate Practices Committee	Position
Edmundo Miguel Vallejo Venegas	President
María Luisa Jorda Castro	Member
Ignacio Pérez Lizaur	Member
Arturo Manuel Fernández Pérez	Member
Jaime Antonio El Koury	Member

Source: Grupo Bimbo's 2017 Integrated Annual Report

Table 4 – Finances and Planning Commitee

Finances and Planning Commitee	Position
José Ignacio Mariscal Torroella	President
Ricardo Guajardo Touché	Member
Raúl Carlos Obregón del Corral	Member
Daniel Javier Servitje Montull	Member
Javier de Pedro Espíndola	Member
Luis Jorba Servitje	Member

Source: Grupo Bimbo's 2017 Integrated Annual Report

Table 5 – Evaluation and Results Committee

Evaluation and Results Committee	Position
Raúl Carlos Obregón del Corral	President
Daniel Javier Servitje Montull	Member
Edmundo Miguel Vallejo Venegas	Member
Luis Jorba Servitje	Member
Nicolás Mariscal Servitje	Member

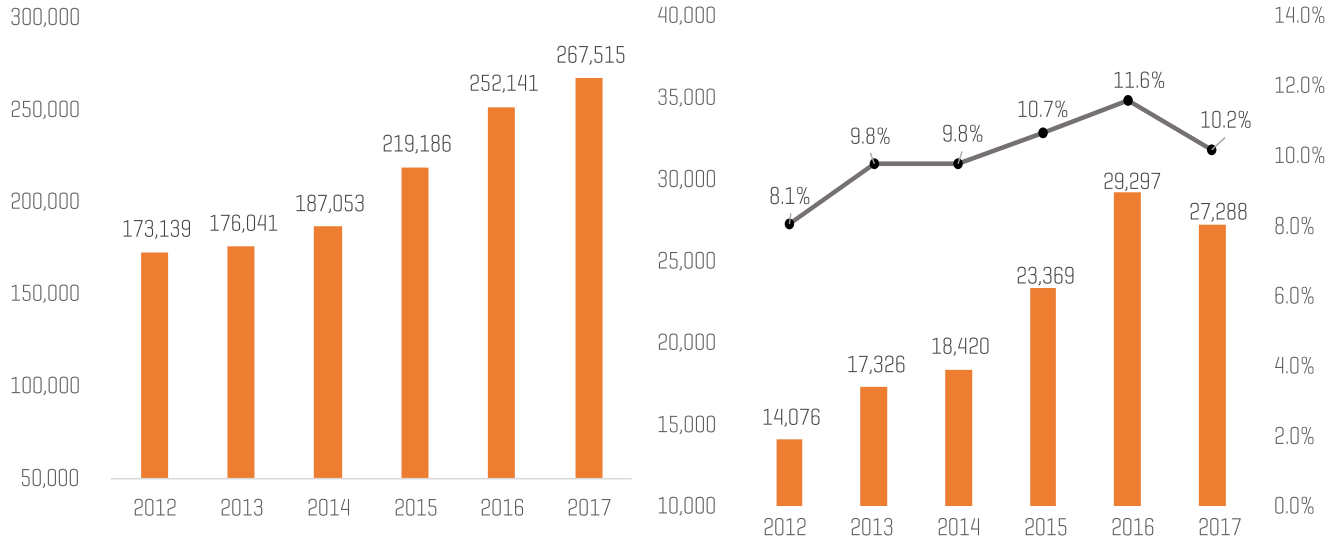
Source: Grupo Bimbo's 2017 Integrated Annual Report

Bimbo is managed by an executive team which has a well-known track record of creating shareholder value in a consistent way during the last few years. A clear example of this is that sales have increased at an average annual rate of 9.1%, while EBITDA has 9.4%, during the 2012-2017 period. This significant growth has been both organically, as well as through acquisitions (48 in the last 10 years).

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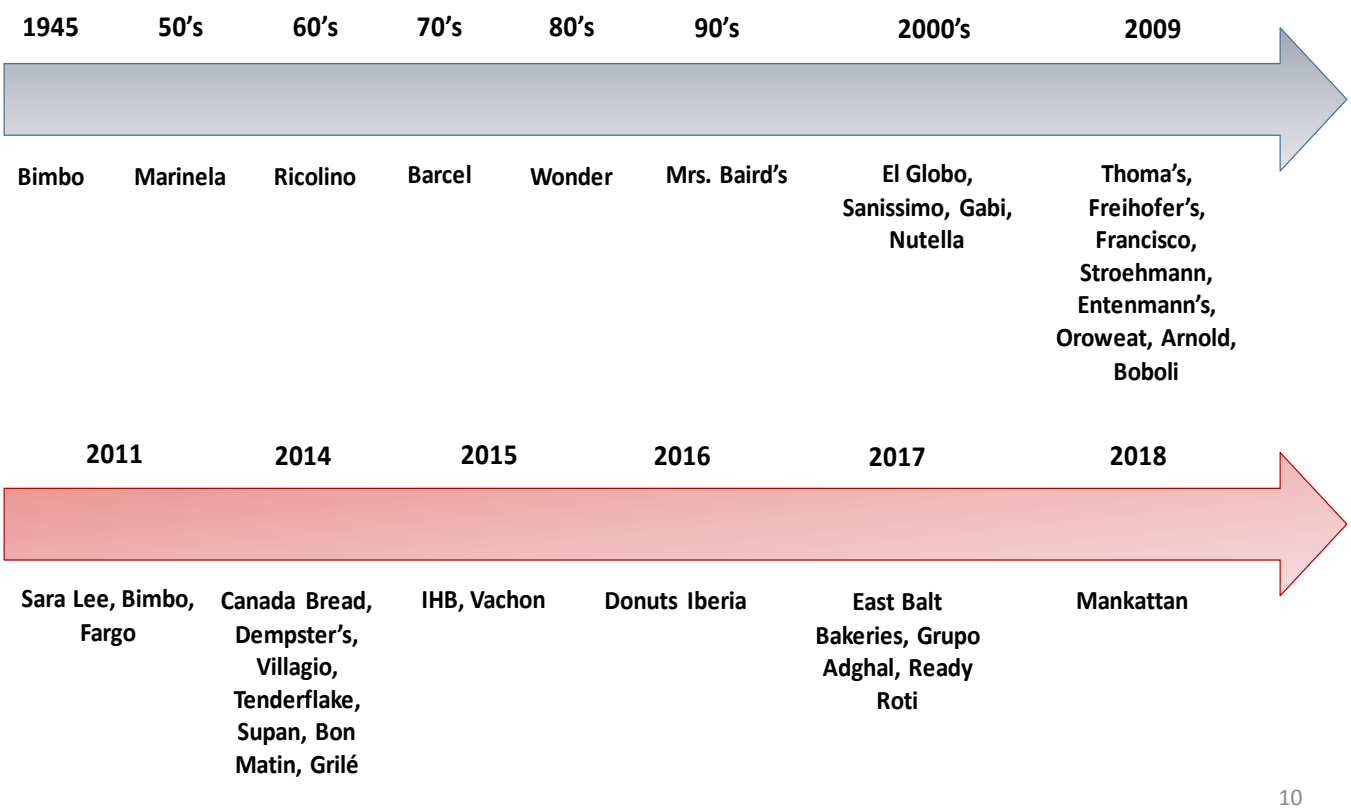
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Graph 3 – Sales, EBITDA and EBITDA Margin (2012-2017, million pesos)



Source: Grupo Bimbo's corporate presentation

Graph 4 – Acquisitions



Source: Grupo Bimbo's corporate presentation

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Table 6 – Executive Committee

Main Executives	Position
Daniel Javier Servitje Montull	Chairman and CEO
Pablo Elizondo Huerta	Deputy CEO BIMBO
Javier Augusto González Franco	Deputy CEO BIMBO
Gabino Miguel Gómez Carbajal	Deputy CEO BIMBO
Diego Gaxiola Cuevas	Global CFO and Corporte Matters Director
Raúl Argüelles Díaz González	Global Director of Human Ressources and Corporate Matters
Raúl Ignacio Obregón Servitje	Transformation General Director
Reynaldo Reyna Rodríguez	Global Services Director
Alfred Penny	Bimbo Bakeries USA CEO
Miguel Ángel Espinoza Ramírez	BIMBO CEO
Ricardo Padilla Anguiano	Barcel CEO
Rafael Pamías Romero	Deputy Managing Director

Source: Grupo Bimbo's 2017 Integrated Annual Report

Ownership Structure

Bimbo's capital is represented by 4,703 million series "A" shares, which are common, ordinary and nominative. The company started to trade on the Mexican Stock Exchange (BMV) in February 1980, and has been part of the main index of the Mexican Stock Exchange (MSE) since February 1999. The Controlling Group and several institutions own 67.1% of outstanding shares. The floating shares represent the remaining 32.9%.

Table 7 – Ownership Structure

Entity	N° of Shares	% of Paid-In Capital
Normaciel, S.A. de C.V.	1,763,123,500	37.5%
Promociones, S.A. de C.V.	550,268,544	11.7%
Banco Nacional de México, S.A. as fiduciary	296,265,488	6.3%
Philae, S.A. de C.V.	232,692,104	4.9%
Marlupag, S.A. de C.V.	161,213,536	3.4%
Sendamos, S.A. de C.V.	150,000,000	3.2%
Other	1,549,636,828	32.9%
Total	**4,703,200,000**	**100.0%**

Source: 2017 Annual Report

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Dividend Policy

Bimbo's Board of Directors proposes the amount of dividends to be paid to the company's shareholders, which has to be approved by the General Shareholders' Meeting. Bimbo has paid dividends in recent years except for 2014 and 2015, since it paid an extraordinary dividend in 2013 in anticipation of the latest tax reform. The dividend history of the last ten years is shown in the following table:

Table 8 – Dividends Paid

	Total Dividend (million pesos)	Dividend per Share (MXN$)	Dividend Yield
2007	$ 470	$ 0.10	0.7%
2008	$ 541	$ 0.12	0.7%
2009	$ 541	$ 0.12	0.8%
2010	$ 588	$ 0.13	0.5%
2011	$ 647	$ 0.14	0.5%
2012	$ 706	$ 0.15	0.5%
2013	$ 2,422	$ 0.51	1.3%
2014	$ -	$ -	0.0%
2015	$ -	$ -	0.0%
2016	$ 1,129	$ 0.24	0.5%
2017	$ 1,364	$ 0.29	0.6%

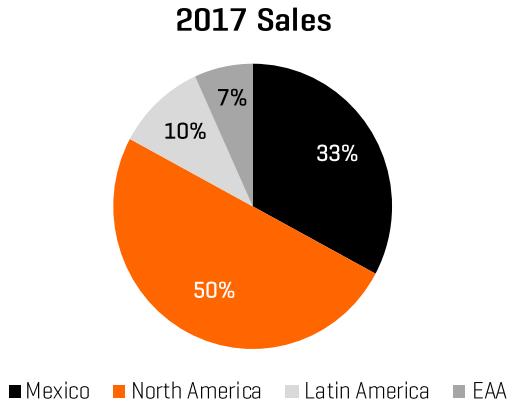
Source: Grupo Bimbo Corporate Presentation

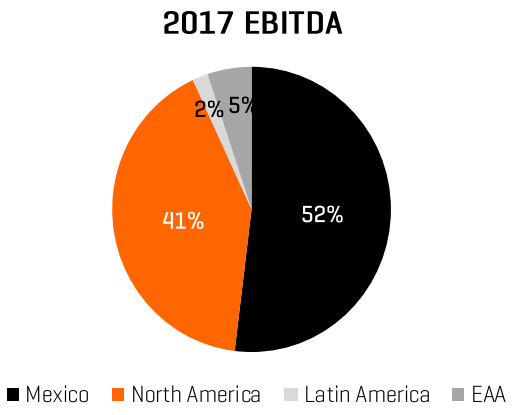
Fundamentals

Sales and EBITDA

In 2017, Bimbo sold nearly MXN$268 billion of which 50% came from its North American operations, 33% from Mexico, 10% from Latin America and the remaining 7% from Europe, Asia and Africa. However, in terms of EBITDA, Mexico is the largest division as it contributed the most with 52% of the total.

Graph 5 – Sales and EBITDA Breakdown





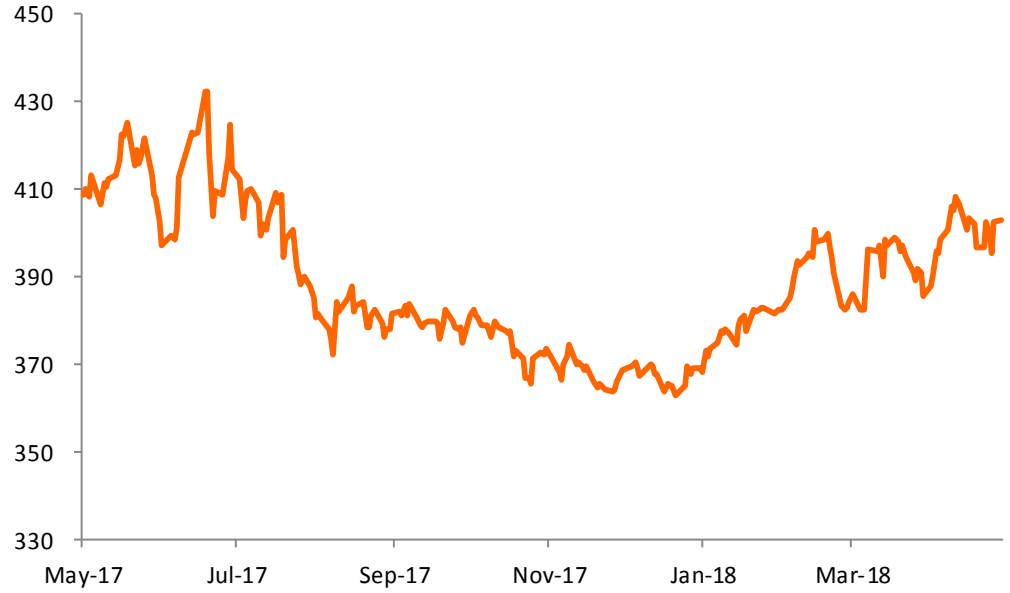
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Cost of Sales / Raw Materials

Raw materials represent around two thirds of Bimbo's cost of sales, of which wheat and plastic contribute with half of that percentage, while the other 50% is diversified into several inputs. Bimbo has hedged itself against wheat, oils and fats for the next 9 - 18 months, and also owns exchange rate hedges for the next 9 - 12 months. The price of wheat, which is the company's main raw material, has risen since the beginning of the year from around USD$360 per contract of 5,000 bushels, to the current level of nearly USD$410, as can be seen in the next graph. It is important to mention that Bimbo was not affected by the fluctuation of raw material prices in 2017. However, the profitability of its Mexican operations decreased due to the impact of the foreign exchange hedges that the company carried out during that year, which is expected to gradually reduce during the current year.

Graph 6 – Corn futures prices at Chicago Mercantile Exchange



Source: Bloomberg

Debt profile

Bimbo's total debt amounted to MXN$89.5 billion (USD$4.9 billion) at the end of Q118, of which 59% was denominated in US dollars, 16% in Canadian dollars, 22% in Mexican pesos and 3% in Euros, with an average cost of 5.2%. The proforma net debt to EBITDA ratio was 3.1x at the end of the quarter, including the acquisitions that the company carried out during that year. Bimbo also has USD$2.1 billion available under a revolving line of credit.

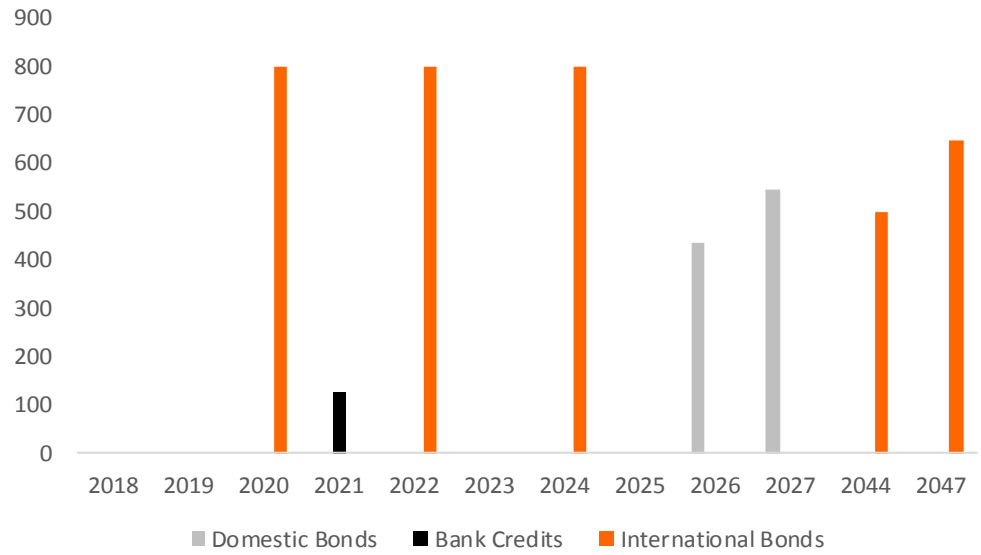
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We believe that Bimbo has no difficulty in financing itself through the domestic or international debt markets due to its high *"Baa2"* credit rating in global scale with a stable outlook from *Moody's,* and *"BBB"* with a stable outlook from *Standard & Poor's* and of *Fitch Ratings*. Bimbo's national scale credit rating is *"Aa1.mx"* with *Moody's, "mxAA +"* with *Standard & Poor's* and *"AA + (mex)"* with *Fitch Ratings*.

In our opinion, Bimbo's maturity profile is well structured, with the first tranche of debt maturing in 2020. It is worth mentioning that the company recently issued USD$500 million in Perpetual Notes with a 5.95% interest rate, which we believe will help it to further strengthen its maturity profile.

Graph 7 – Bimbo's maturity profile (million dollars)



Source: Grupo Bimbo's Corporate Presentation

III. Bimbo's Perspectives

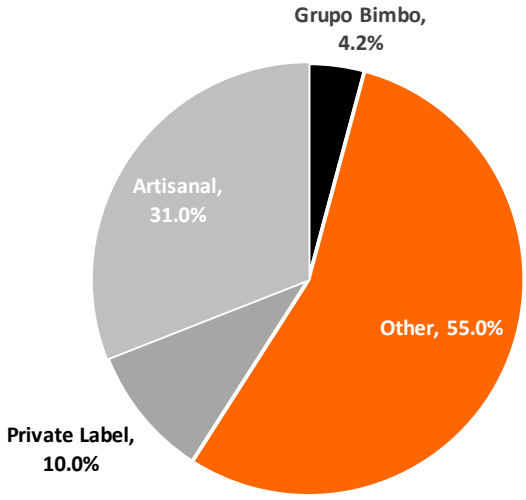
We expect Bimbo to continue growing at attractive rates in the future, as it has several competitive advantages which include an extensive coverage and distribution, brand recognition and loyalty, quality and innovation of products and packaging, and customer service. Additionally, we expect the company to benefit from the acquisitions that it carried out during 2017 and the current year, mainly *Bimbo QSR*.

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We believe that there are significant growth opportunities internationally if we take into account that Bimbo represents only 4.2% of the global bakery market, which amounted to USD$366 billion in 2017.

Graph 8 – Bimbo's global market share

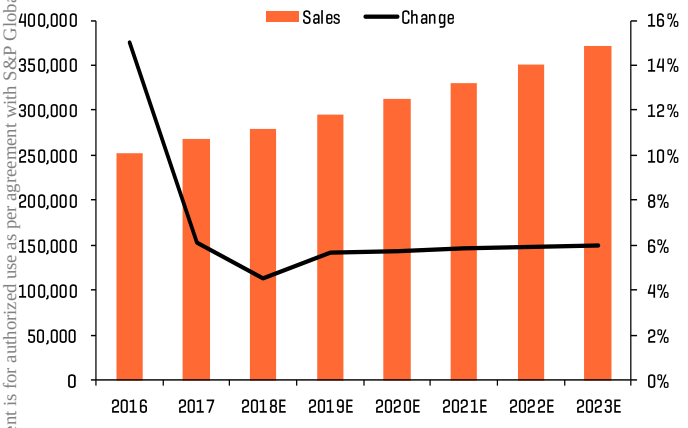


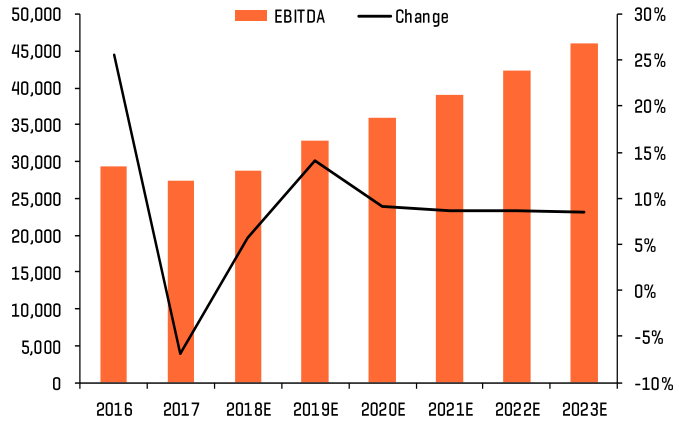
Source: Grupo Bimbo Corporate Presentation

Sales, EBITDA and Net Profits

We expect Bimbo's revenues and EBITDA to grow at an average annual rate of 6% and 9%, respectively, during the 2018 – 2023 period.

Graph 9 – Sales and EBITDA (2016-2023E; million pesos)





Source: Interacciones Research

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Our projections are based on the following:

- **Mexico:** This segment's sales will likely rise at an 8% annual average rate, due to a 4% increase in volume, supported by population growth and the significant expansion of certain categories such as snacks, in conjunction with prices in line with inflation. We estimate that the EBITDA margin of the Mexican operations will improve to 18.1% in 2018, from 17.6% in 2017, due to a lower impact related to the hedging of raw materials. We do not anticipate an additional margin expansion in the future.

- **North America:** We forecast that revenues from this segment would grow at an average annual rate of 2%, due to a small increase in both volume and prices, together with the benefits of the exchange rate. We projected that the EBITDA margin will gradually improve to 9.8% in 2023, supported by operating efficiencies, particularly in Canada. It is worth mentioning that this region was affected in 2017 by several factors, including the loss of an important client, integration expenses and a strike. We are more conservative in our estimates than Bimbo's administration, since they expect a margin of 12% to 13% in 2020.

- **Latin America:** We believe that a 3% annual average sales growth is adequate for this region, due to slightly higher volumes and prices. We believe that the EBITDA margin will gradually improve to reach 5.2% in 2023 thanks to higher profitability in Brazil as a result of the change in labor laws, as well as in Argentina, which started operating with positive numbers at the end of last year. In this case, we are also more conservative than Bimbo, since the company expects a mid single-digit margin in 2020 in Latin America.

- **Europe, Asia, Africa:** We expect this region's revenues to advance at an average annual rate of 11% driven largely by the acquisition of *Bimbo QSR*, at the end of last year. We believe that the EBITDA margin will be close to zero in 2018, but that it would gradually improve to 4.5% in 2023, as the company generates economies of scale with this acquisitions.

We project that Bimbo's net income will grow at an average annual rate of 13% during the aforementioned period. This indicator will be supported by a solid operating performance, a lower tax rate starting in 2019, the expectation that some loss-making operations, such as Brazil and China, will begin to generate profits, as well as a favorable base of comparison since the company recorded a non-recurring MXN$706 million charge in the last quarter of 2017 as a result of the tax reform in the United States.

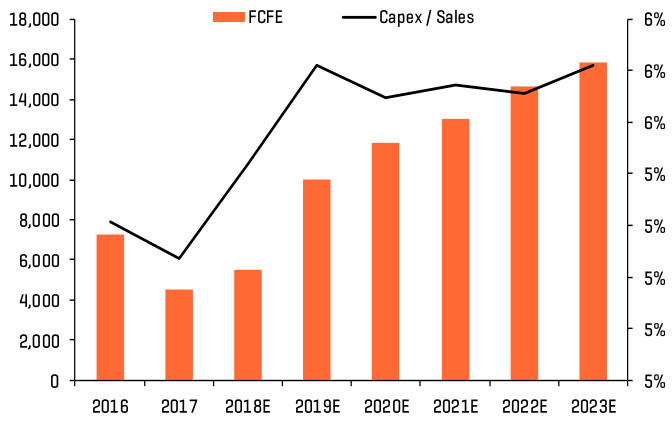
Capex / Free Cash Flow

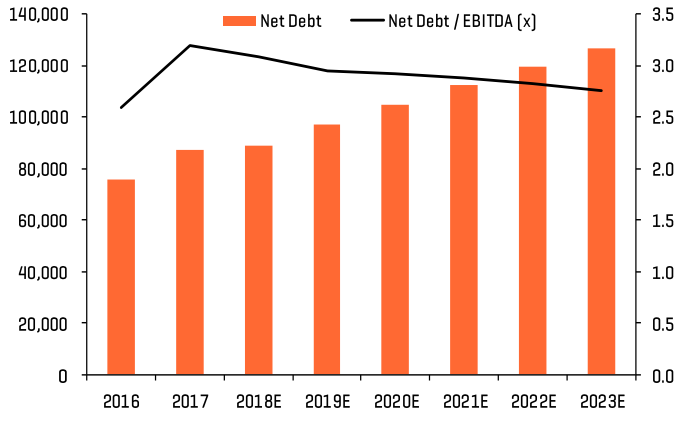
We expect Bimbo to invest around USD$820 million in 2018, which will represent 5% of revenues. For the following years, we project that this ratio will reach 6% of sales. This means that Bimbo will generate around USD$301 million in free cash flow to equity in 2018, which we estimate will grow to USD$782 million in 2023. We expect the company to use these resources to pay down debt and for dividends. We estimate that the net debt to EBITDA ratio will decrease to 2.8x at the end of 2023.

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Graph 10 – Capex, Free Cash Flow, Leverage (2016-2023 E; million pesos)





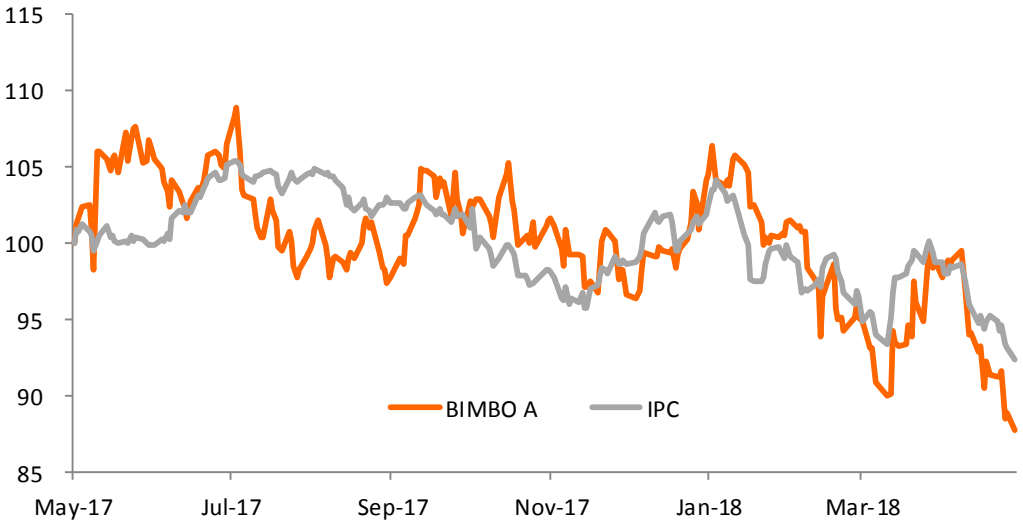
Source: Interacciones Research

IV. Valuation

Price Performance

Bimbo series "A" shares have underperformed the main Index of the MSE during the last twelve months. This performance was mainly due to the company's weak results during the past year, due to the difficult integration of *"Donuts Iberia"*, and the impact of currency hedges in Mexico. We expect Bimbo' shares to perform in line with the market during the next twelve months, which explains our HOLD recommendation.

Graph 11 – Bimbo A vs. IPC (last twelve months)



Source: Bloomberg

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International Multiples

We expect Bimbo shares to operate at an EV/EBITDA of 10.2x and a P/E of 36.5x at the end of the current year. These multiples compare against the averages of 10.9x EV/EBITDA and 15.6x P/E for the international food companies, as can be seen in our global valuation table.

Global Valuation Table - Food Sector

Company	Price (US$)	Mkt. Cap. (USD Mn)	EV / EBITDA L12M	EV / EBITDA 2018E	EV / EBITDA 2019E	P / E L12M	P / E 2018E	P / E 2019E	Δ% EBITDA 2018E	Δ% EBITDA 2019E	Net Debt / EBITDA	ROE	EBITDA Margin Q118
Grupo Bimbo	**$ 2.02**	**9,469**	**9.8x**	**10.2x**	**9.2x**	**38.0x**	**36.5x**	**32.7x**	**9%**	**14%**	**3.1x**	**7.3**	**9.7**
Gruma	$ 10.82	4,639	9.6x	11.0x	11.4x	14.8x	16.8x	17.5x	5%	5%	1.5x	25.4	15.4
Industrias Bachoco	$ 4.79	2,865	6.0x	6.4x	7.5x	10.4x	12.5x	14.0x	28%	1%	(1.8x)	15.7	13.9
Grupo Lala	$ 1.11	2,752	9.5x	10.1x	10.9x	17.8x	19.1x	22.9x	9%	7%	2.9x	11.2	11.1
Grupo Herdez	$ 2.09	900	9.7x	9.6x	8.3x	16.2x	16.6x	17.1x	2%	8%	1.5x	13.1	16.4
BRF	$ 5.90	4,796	11.3x	8.2x	6.6x	(13.6x)	62.5x	18.7x	27%	22%	5.0x	(8.6)	8.6
JBS	$ 2.62	7,144	6.1x	5.0x	4.6x	43x	8.1x	7.4x	7%	4%	3.9x	2.5	7.1
M Dias Branco	$ 11.85	4,017	12.4x	13.0x	11.0x	15.2x	15.9x	14.1x	(1%)	15%	(0.9x)	16.5	16.9
Nutresa	$ 9.02	4,153	14.6x	12.8x	11.6x	29.2x	23.2x	20.2x	12%	8%	2.6x	4.9	12.0
Marfrig Global Foods	$ 2.34	1,455	7.0x	5.4x	4.4x	(9.6x)	74.9x	12.7x	0.1x	23%	4.5x	(18.2)	8.2x
Mondelez International	$ 39.45	58,191	17.6x	13.8x	12.5x	19.9x	15.8x	14.9x	26%	9%	3.7x	12.4	18.0
Kraft Heinz	$ 56.98	69,468	12.8x	12.6x	12.0x	6.3x	15.0x	14.4x	0%	3%	4.0x	17.9	29.5
General Mills Inc	$ 42.29	25,073	10.8x	12.5x	11.3x	15.1x	14.0x	13.3x	3%	9%	2.8x	40.8	20.1
Tyson Foods	$ 69.05	27,586	10.1x	8.3x	8.1x	15.6x	11.2x	11.3x	19%	2%	2.7x	25.4	9.2
Hershey	$ 92.10	19,273	15.2x	12.2x	11.6x	24.6x	17.0x	16.4x	22%	4%	2.3x	111.9	24.1
Hormel Foods	$ 35.82	18,968	13.8x	13.7x	12.4x	22.4x	18.7x	18.2x	(0%)	7%	0.4x	18.8	14.9
Conagra Brands	$ 36.95	14,541	15.2x	12.0x	11.9x	22.7x	17.4x	16.2x	26%	(0%)	2.8x	22.4	16.2
Danone	$ 76.76	51,440	13.1x	12.3x	11.2x	18.6x	18.7x	17.0x	4%	7%	3.2x	17.8	19.1
Total / Promedio		*319,226*	*12.2x*	*10.9x*	*10.2x*	*13.9x*	*15.6x*	*14.6x*	*10%*	*6%*	*2.8x*	*18.5*	*15.2*

Source: Bloomberg, Interacciones Research; n.a. = not available

Note: All figures in USD

Target Price / Discounted Cash Flow Model

We established a year-end 2018 **target price** of **MXN$43.00** per share through a discounted cash flow model which uses a 9.5% WACC, as well as a 7.5% nominal rate of growth in perpetuity. To calculate the WACC, we used a 33% debt to equity ratio, with a 12.5% cost of capital, a 5.2% pre-tax cost of debt, and a three-year weekly beta against the IPC Index of 0.81. The potential return against our target price is 9.2%, including a 0.7% dividend yield.

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Discounted Cash Flow Model

Million Pesos	2019E	2020E	2021E	2022E	2023E	Perpetuity
OPERATING PROFIT	**18,807**	**20,642**	**22,642**	**24,821**	**27,198**	**29,233**
Tax Rate	40.0%	40.0%	40.0%	40.0%	40.0%	30.0%
Tax Shield	(7,523)	(8,257)	(9,057)	(9,929)	(10,879)	(8,770)
NOPLAT	11,284	12,385	13,585	14,893	16,319	20,463
Depreciation	10,077	10,657	11,278	11,943	12,657	13,604
Wkg. Capital Changes	(790)	(854)	(923)	(997)	(1,077)	(1,158)
CAPEX	(17,200)	(17,800)	(19,000)	(20,000)	(21,600)	(23,217)
FCFE	**3,370**	**4,388**	**4,940**	**5,839**	**6,298**	**9,693**
Growth Rate in Perpetuity						**7.5%**
PV of Explicit Period (2019E - 2023E)						18,555
Perpetuity Value						477,515
PV of Perpetuity Value						276,788
Estimated Enterprise Value						295,343
Net Debt						88,735
Minorities						4,386
Estimated Market Value						202,222
Shares Outstanding						*4,703*
Target Price						**P$ 43.00**
Current Market Price						**P$ 39.63**
Potential Return w/ Dividends						**9.2%**
Target EV/EBITDA						10.2x
Target P/E						36.5x
Average Cost of Debt						5.2%
LT Tax Rate						30.0%
After-Tax Cost of Debt						3.6%
Cost of Capital						12.5%
Market Risk Premium						6.0%
Risk Free Rate						7.6%
Beta						0.81
% Total Debt						33%
% Capital						67%
WACC						**9.5%**

Source: Interacciones Research

Sensitivity Analysis of the Target Price

In the following tables, we present a sensitivity analysis of Bimbo's target price, depending on different levels of multiples and projected EBITDA and net profits. Our year-end 2018 target price of MXN$43.00 implies that the stock will trade at an EV/EBITDA of 10.2x and P/E of 36.5x at the end of the current year. However, we believe that these discounts are justified since Bimbo has diversified geographically during the last few years in markets which suffer from a much higher competition than the Mexican one, which compresses its valuation.

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Sensitivity Analysis, EV/EBITDA

EBITDA	-10% 26,020	-5% 27,389	*Projected* *28,831*	+5% 30,273	+10% 31,786
Target EV/EBITDA					
8.7x	28.58	31.12	*33.80*	36.48	39.30
9.2x	31.34	34.03	*36.87*	39.70	42.67
9.7x	34.11	36.95	*39.93*	42.92	46.05
10.2x	**36.87**	**39.86**	***43.00***	**46.14**	**49.43**
10.7x	39.64	42.77	*46.06*	49.35	52.81
11.2x	42.41	45.68	*49.13*	52.57	56.19

Source: Interacciones Research

Sensitivity Analysis, P/E

Net Profit	-10% 5,004	-5% 5,267	*Projected* *5,544*	+5% 5,821	+10% 6,112
Target P/E					
33.5x	35.61	37.49	*39.46*	41.43	43.50
34.5x	36.68	38.61	*40.64*	42.67	44.80
35.5x	37.74	39.73	*41.82*	43.91	46.10
36.5x	**38.80**	**40.85**	***43.00***	**45.15**	**47.40**
37.5x	39.87	41.97	*44.18*	46.38	48.70
38.5x	40.93	43.09	*45.35*	47.62	50.00

Source: Interacciones Research

V. Main Risks

i. **Increase in raw material, fuel and energy prices –** Bimbo's main raw materials are wheat flour, water, edible oils and fat, sugar and plastics. Several of these commodities are denominated in dollars and could be subject to volatility in price and availability.

ii. **High leverage –** The proforma net debt to EBITDA ratio was 3.1x at the end of Q118.

iii. **Significant appreciation of the Mexican peso against the dollar -** This is due to the fact that most of the revenues and a considerable portion of the EBITDA are denominated in dollars.

iv. **Higher-than-expected integration expenses -** In 2017, Bimbo recorded MXN$1.3 billion in integration expenses related to the acquisition of "Donuts Iberia". We expect these expenses to reduce significantly during the current year; however, there is always a risk that they could be above our expectations.

v. **Stronger competition in the bakery industry -** Greater competition could reduce Bimbo's market share, trigger a price reduction, or increase promotional costs.

vi. **Changes in consumer preferences -** Demand for Bimbo products could be affected by the popularity of certain new trends, such as low-carbohydrate diets, and concerns about the health effects of sugar-containing foods.

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VI. Financial Projections

GRUPO BIMBO, S.A.B. DE C.V.

(Figures im Millions of Pesos)

INCOME STATEMENT	2017	2018E	2019E	2020E	2021E	2022E	2023E	2017	2018E	2019E	2020E	2021E	2022E	2023E
Sales	267,515	279,589	295,478	312,484	330,697	350,213	371,138	6%	5%	6%	6%	6%	6%	6%
Cost of Sales	(124,763)	(131,665)	(139,157)	(147,173)	(155,755)	(164,949)	(174,803)	8%	6%	6%	6%	6%	6%	6%
Gross Profit	142,752	147,924	156,321	165,311	174,941	185,264	196,336	5%	4%	6%	6%	6%	6%	6%
Gross Margin	*53.4%*	*52.9%*	*52.9%*	*52.9%*	*52.9%*	*52.9%*	*52.9%*							
General Expenses	(121,189)	(127,802)	(134,474)	(141,589)	(149,179)	(157,283)	(165,938)	7%	5%	5%	5%	5%	5%	6%
Other Gains (Losses)	(4,091)	(2,852)	(3,040)	(3,080)	(3,120)	(3,160)	(3,200)	(6%)	(30%)	7%	1%	1%	1%	1%
Operating Profit	17,472	17,269	18,807	20,642	22,642	24,821	27,198	(3%)	(1%)	9%	10%	10%	10%	10%
Operating Margin	*6.5%*	*6.2%*	*6.4%*	*6.6%*	*6.8%*	*7.1%*	*7.3%*							
Depreciation and Amortization	(8,761)	(9,535)	(10,077)	(10,657)	(11,278)	(11,943)	(12,657)	4%	9%	6%	6%	6%	6%	6%
EBITDA	27,288	28,831	32,878	35,882	38,982	42,334	45,958	(7%)	6%	14%	9%	9%	9%	9%
EBITDA Margin	*10.2%*	*10.3%*	*11.1%*	*11.5%*	*11.8%*	*12.1%*	*12.4%*							
Financial Gain	314	231	218	288	214	234	256	(65%)	(26%)	(6%)	32%	(26%)	9%	9%
Financial Cost	(6,069)	(6,588)	(6,958)	(7,636)	(8,061)	(8,624)	(9,182)	11%	9%	6%	10%	6%	7%	6%
Pre-Tax Profit	11,951	11,073	12,267	13,534	15,075	16,752	18,632	(12%)	(7%)	11%	10%	11%	11%	11%
Taxes and Profit Sharing	(6,282)	(4,459)	(4,907)	(5,414)	(6,030)	(6,701)	(7,453)	(8%)	(29%)	10%	10%	11%	11%	11%
Tax and Profit Sharing Rate	*52.6%*	*40.3%*	*40.0%*	*40.0%*	*40.0%*	*40.0%*	*40.0%*							
Net Profit Before Minorities	5,670	6,614	7,360	8,120	9,045	10,051	11,179	(16%)	17%	11%	10%	11%	11%	11%
Minority Interest	(1,040)	(1,070)	(1,168)	(1,289)	(1,435)	(1,595)	(1,774)	20%	3%	9%	10%	11%	11%	11%
Net Profit	4,630	5,544	6,192	6,832	7,610	8,456	9,405	(22%)	20%	12%	10%	11%	11%	11%
Shares Outstanding	4,703	4,703	4,703	4,703	4,703	4,703	4,703	0%	0%	0%	0%	0%	0%	0%
EPS	P$ 0.98	P$ 1.18	P$ 1.32	P$ 1.45	P$ 1.62	P$ 1.80	P$ 2.00	(22%)	20%	12%	10%	11%	11%	11%
BALANCE SHEET	2017	2018E	2019E	2020E	2021E	2022E	2023E	2017	2018E	2019E	2020E	2021E	2022E	2023E
TOTAL ASSETS	259,155	253,561	269,893	282,585	297,608	313,530	330,515	6%	(2%)	6%	5%	5%	5%	5%
ST Assets	42,490	40,911	45,209	45,845	48,232	51,181	54,304	4%	(4%)	11%	1%	5%	6%	6%
Cash & Cash Equivalents	7,216	4,700	7,000	5,500	5,600	6,100	6,600	6%	(35%)	49%	(21%)	2%	9%	8%
LT Assets	216,666	212,651	224,684	236,739	249,376	262,349	276,212	6%	(2%)	6%	5%	5%	5%	5%
P, P & E	82,972	85,290	92,893	100,516	108,719	117,255	126,678	11%	3%	9%	8%	8%	8%	8%
Intangible Assets	119,620	114,411	118,411	122,411	126,411	130,411	134,411	6%	(4%)	3%	3%	3%	3%	3%
Other LT Assets	4,559	4,690	5,090	5,490	5,890	6,290	6,690	5%	3%	9%	8%	7%	7%	6%
TOTAL LIABILITIES	182,133	178,199	189,842	197,281	206,353	215,559	224,968	7%	(2%)	7%	4%	5%	4%	4%
ST Liabilities	48,655	48,385	47,602	52,371	53,733	55,102	56,547	8%	(1%)	(2%)	10%	3%	3%	3%
LT Liabilities	133,477	129,813	142,240	144,911	152,620	160,458	168,420	7%	(3%)	10%	2%	5%	5%	5%
TOTAL DEBT	94,313	93,435	103,871	110,027	117,735	125,490	133,353	14%	(1%)	11%	6%	7%	7%	6%
NET DEBT	87,097	88,735	96,871	104,527	112,135	119,390	126,753	15%	2%	9%	8%	7%	6%	6%
TOTAL CAPITAL	77,023	75,363	80,051	85,304	91,255	97,971	105,548	3%	(2%)	6%	7%	7%	7%	8%
Stockholder's Equity	72,766	70,977	75,392	80,339	85,944	92,269	99,405	2%	(2%)	6%	7%	7%	7%	8%
Minority Interest	4,257	4,386	4,659	4,965	5,311	5,702	6,143	17%	3%	6%	7%	7%	7%	8%
CASH FLOW STATEMENT	2017	2018E	2019E	2020E	2021E	2022E	2023E	2017	2018E	2019E	2020E	2021E	2022E	2023E
PRE-TAX PROFITS	5,670	10,038	12,267	13,534	15,075	16,752	18,632	(16%)	77%	22%	10%	11%	11%	11%
Investment Related Activities	21,925	19,270	19,096	19,634	20,213	20,837	21,509	1%	(12%)	(1%)	3%	3%	3%	3%
Financing Activities	0	4,859	6,984	7,665	8,092	8,656	9,216	n.a.	n.a.	44%	10%	6%	7%	6%
Pre-Tax Cash Flow	27,595	18,639	16,597	18,325	20,042	21,975	24,054	(3%)	(32%)	(11%)	10%	9%	10%	9%
Working Capital Changes	(4,753)	(3,631)	(790)	(854)	(923)	(997)	(1,077)	14%	(24%)	(78%)	8%	8%	8%	8%
Operating Cash Flow	22,842	15,008	15,806	17,471	19,119	20,978	22,977	(6%)	(34%)	5%	11%	9%	10%	10%
Cash Flow from Investing Activities	(28,278)	(15,071)	(17,200)	(17,800)	(19,000)	(20,000)	(21,600)	61%	(47%)	14%	3%	7%	5%	8%
Cash Flow from Financing Activities	6,194	(2,179)	3,694	(1,171)	(19)	(478)	(877)	(242%)	(135%)	(269%)	(132%)	(98%)	2,428%	84%
Net Incr. (Decr.) in Cash & T.I.	402	(2,516)	2,300	(1,500)	100	500	500	(87%)	(726%)	(191%)	(165%)	(107%)	400%	0%
Cash & T.I. Beginning of Period	6,814	7,216	4,700	7,000	5,500	5,600	6,100	78%	6%	(35%)	49%	(21%)	2%	9%
Cash & T.I. End of Period	7,216	4,700	7,000	5,500	5,600	6,100	6,600	6%	(35%)	49%	(21%)	2%	9%	8%

Source: Interacciones Research

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